cross-LOC cease-fire; the restoration of transportation and trade links between Indian and Pakistani Kashmir; steps to increase the security of nuclear weapons; and cooperation on cross-border criminal activity such as human trafficking, currency counterfeiting, and illegal immigration.[2] Violence in Kashmir has decreased. According to the Indian government, terrorist-related incidents declined by 22 percent from 2004 to 2005, with civilian deaths falling 21 percent and security personnel deaths falling 33 percent. In 2006, terrorist incidents declined an additional 16 percent, killing 30 percent fewer civilians and 20 percent fewer security forces than during the previous year.[3] This has enabled Indian forces to begin to adopt a less aggressive posture in the region. For example, in late 2007, the Indian government announced that its troops would withdraw from positions in private schools, hospitals, and houses that they had occupied during the Kashmir uprising.[4]

It is important to recognize that these improvements in Indo-Pakistani relations, though real, have been modest. For example, despite notable progress, the Kashmiri security situation remains tense. In 2006, 1,667 terrorist incidents killed a total of 540 civilians and security personnel. In an effort to maximize casualties, militants have increasingly attacked “soft” targets, such as minority groups, tourists, and migrant laborers. And estimated militant infiltration into Indian territory from Pakistani Kashmir has declined only 4 percent from 2005. Indian security forces report that infiltrators show signs of increased professionalization and are skilled at such tasks as breaching fences and negotiating other physical barriers.[5] As a result, Indian and Kashmiri officials have opposed significant reductions in troop levels, and hundreds of thousands of Indian security forces remain stationed in the region. “Although the incidents of violence and militancy are on the decline it is not wise to lower our guard,” said Indian Kashmir chief minister Ghulam Nabi Azad. Azad stated that Indian force levels would be “automatically reduced” and “troops would go to the barracks once the situation was completely under control.”[6] According to a senior Indian diplomat closely involved with the Kashmir peace process, “It is difficult to say” how much the Indo-Pakistani security environment has improved. “The Kashmir evidence is mixed. Cross-border